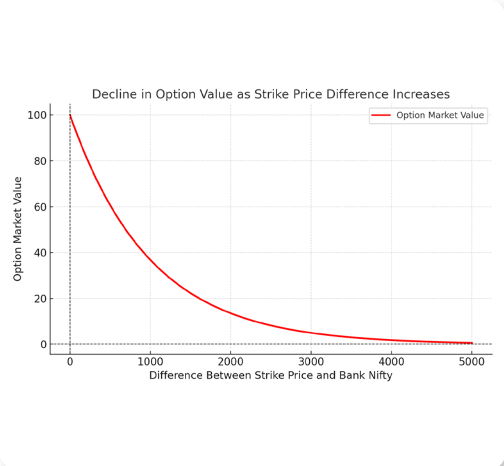
Suppose you sold a Bank Nifty put with a strike price of 51,500 when Bank Nifty was at 52,000. Imagine that Bank Nifty rises to 52,500. At this stage, you must exit your position. You must take the loss and re-enter a put with a strike price 500 points lower than Bank Nifty.



If the difference between the strike price and the Bank Nifty keeps increasing, your option's market value will keep falling. Instead, it is better to recover whatever amount you can. You can re-enter a put contract with a strike price closer to the current market price.

3.2 Setting Stop-Loss and Target for Options

In the previous chapter, we discussed delta. We learned how it can help us predict the change in option price for a given change in the underlying asset. We will now apply this knowledge to understand how to set a stop-loss and target for options.

Suppose Nifty is currently trading at 24,500. You believe it will not go below 24,450 and may even touch 24,610. So, your support is 24,450, and your target is 24,610.

Let us assume you bought a Nifty 24,500 call option for ₹100. The delta at this level is 0.52. Let us use this delta to predict how much the call option price will increase when Nifty hits its target and its support.

Symbol	Particulars	Support	Target
A	Nifty	24,450	24,610
B	A - 24,500	-50	+110